Seminar 2

How firms are funded, and who moves the money

Complements Lecture 2: balance sheets, capital structure and financial intermediaries

The big picture: why funding matters

Two firms can run the same business and yet one thrives and the other collapses, purely because of HOW they were funded. The mix of debt and equity is a choice, and it has consequences.

1. Raising equity: SpaceX, 2026

In June 2026 SpaceX sold new shares to the public for the first time, raising about $75bn, the largest IPO in history.

That cash came from the PRIMARY market: new equity, no repayment, no interest.

2. Too much debt: Thames Water

Thames Water, the UK's biggest water company, ran up roughly £19bn of debt.

In 2024-25 it came close to collapse: the interest bill on all that debt overwhelmed it. Same pipes, dangerous funding.

Debt magnifies everything. Get the mix right and you soar; get it wrong and the interest bill sinks you. Today you'll see the numbers behind that.

Where this fits, and today's aim

From Lecture 2 (the ideas)

- Every firm is a balance sheet: assets = liabilities + equity.
- It is funded with debt or equity, the capital structure choice.
- Intermediaries move savers' money to firms; markets are where securities meet buyers.

This seminar (what you'll DO)

- read a simple balance sheet and find the equity cushion;
- compute return on equity and watch leverage amplify gains AND losses;
- tell the primary market from the secondary, and say who actually gets the money.

Reading a balance sheet in 30 seconds

Assets = Liabilities + Equity (what it owns = what it owes + the owners' stake)

Assets (what it owns)	**100**
Debt (what it owes lenders)	70
Equity (owners' cushion)	**30**

The key idea

Equity is not cash in a drawer. It is the OWNERS' claim, and the cushion that absorbs losses before lenders are touched. Here it is 30% of assets.

If the assets lost £30m of value, the equity would be wiped out and the lenders would start to lose. That thickness of cushion is what today is about.

Leverage: the amplifier (do it with me)

New firm, Delta Ltd: £200 of assets, earning £20 operating profit in a good year. Fill in both columns with me: all-equity versus 50% debt at 6% interest.

All equity

Equity = £200, debt = £0

Profit to owners = £20

ROE = 20 / 200 = 10%

50% debt at 6%

Equity = £100, debt = £100

Interest = 6% x 100 = £6

Profit to owners = 20 - 6 = £14

ROE = 14 / 100 = 14%

Borrowing lifted the owners' return from 10% to 14%. That is the appeal of leverage.

Activity: leverage in a bad year

Now Delta has a BAD year: operating profit is only £4, not £20. On your own, work out ROE for the all-equity firm and for the 50%-debt firm. What does leverage do now?

All equity

ROE = 4 / 200 = 2%

A thin return, but still positive.

50% debt at 6%

Profit to owners = 4 - 6 = -£2

ROE = -2 / 100 = -2%

A profit turned into a loss.

Leverage cuts both ways: it amplified 10% up to 14% in the good year, and pushed 2% down to -2% in the bad year. More debt, more risk.

Activity: which kind of risk is it?

Vote on each: is it BUSINESS risk (from operations, every firm has it) or FINANCIAL risk (the extra you take on only by using debt)?

A new competitor cuts its prices	BUSINESS: it hits sales and margins. It would happen with no debt at all.
The firm doubles its bank borrowing	FINANCIAL: a bigger fixed interest bill to meet, whatever the year brings.
A recession cuts customer demand	BUSINESS: an operational shock to revenue, present in any capital structure.
Interest rates rise on the firm's loans	FINANCIAL: it only bites because the firm chose to fund with debt.

Activity: primary or secondary?

For each deal: is it PRIMARY (new securities, money to the company) or SECONDARY (existing securities, money to another investor)? Who actually gets the cash?

SpaceX's 2026 IPO: you buy shares in the offering	PRIMARY: brand-new shares. Your cash goes to SpaceX.
You buy 10 Apple shares on your trading app	SECONDARY: from another investor. Apple gets nothing.
National Grid issues a new 500m pound bond	PRIMARY: new debt. The cash goes to National Grid.
You sell a gilt you own to another investor	SECONDARY: the cash goes to you, not the government.

In your groups: debt or equity?

A profitable founder needs £5m to grow. Half the room argues for BORROWING it, half for SELLING new equity. Then decide together.

The case for debt

No dilution: the founder keeps ownership and all the upside. But interest is a fixed bill that must be paid in good years and bad. That is financial risk.

The case for equity

No repayment, and investors share the downside if things go wrong. But you give away part of the company, and its future profits, forever.

The right mix trades the appeal of debt against the safety of equity. This is the capital-structure decision from the lecture, argued live.

Three traps to avoid in the exam

1

Dividing ROE by the wrong number

Return on EQUITY divides profit-after-interest by the equity stake, not by total assets. That is why leverage lifts ROE.

2

Thinking leverage is a free lunch

It amplifies losses just as much as gains. More debt means more financial risk, not more certainty.

3

'Buying a share funds the company'

Only in the primary market. Everyday trading is secondary: the company gets nothing, the selling investor does.

Exam-style question

A firm has £300 of assets earning £30 operating profit, funded by £200 of equity and £100 of debt at 6% interest. What is its return on equity?

A) 10%

B) 12%

C) 15%

D) 8%

Answer: B. Interest = 6% x 100 = £6; profit to owners = 30 - 6 = £24; ROE = 24 / 200 = 12%.

Take these away

- A balance sheet is assets = liabilities + equity; equity is the cushion that absorbs losses first.
- Return on equity = profit after interest, divided by EQUITY. Leverage lifts it in good years.
- Leverage cuts both ways: it amplifies losses too. That extra risk is financial risk.
- Primary market = new money to the company; secondary market = investors trading, company gets nothing.

Before Seminar 3: be able to compute ROE with and without debt, and explain who gets the money in a secondary-market trade.